

Suppose that Jim has a chance to invest in Schmoogle, Inc., an initial public offering (IPO) that has generated a great buzz following its recent market debut. Jim thinks that Schmoogle has high potential and contemplates buying in because Schmoogle's price has recently declined by 10 percent due to some recent market weakness. If Jim invests in Schmoogle, one of two things will happen: (1) Schmoogle will drop further (Jim made the wrong decision), or (2) Schmoogle will rebound (Jim made the right decision). If Jim doesn't invest, one of two things will happen: (1) Schmoogle will rebound (Jim made the right decision), or (2) Schmoogle will drop further (Jim made the wrong decision).

Suppose that Jim does invest and Schmoogle goes down. Jim will have committed an error of commission because he actually committed the act of investing and will likely feel regret strongly because he actually lost money.

Now suppose that Jim does not invest and Schmoogle goes up. Jim will have committed an error of omission because he omitted the purchase of Schmoogle and lost out. This regret may not be as strong as the regret associated with the error of commission. Why? First, as we learned in Chapter 17, investors dislike losing money more than they like gaining money. Second, in the first possibility, the investor actually committed the act of investing and lost money; in the second possibility, the investor merely did not act and only lost out on the opportunity to gain.

Implications for Investors

Regret aversion causes investors to anticipate and fear the pain of regret that comes with incurring a loss or forfeiting a profit. The potential for financial injury isn't the only disincentive that these investors face; they also dread feeling responsible for their own misfortunes (because regret implies culpability, whereas simple disappointment does not). The anxiety surrounding the prospect of an error of commission, or a "wrong move," can make investors timid and can cause them to subjectively and perhaps irrationally favor investments that seem trustworthy (e.g., "good companies"). Suppose that regret-averse Jim is now considering two investments, both with equal projected risk and return. One stock belongs to Large Company, Inc., while the other confers a share in Medium-Size Company, Inc. Even though, mathematically, the expected payoffs of investing in these two companies are identical, Jim will probably feel more comfortable with Large Company. If an investment in Large Company, Inc., fails to pay off, Jim can rationalize that his decision making could not have been too egregiously flawed, because Large Company, Inc., must have had lots of savvy investors. Jim doesn't feel uniquely foolish, and so the culpability component of Jim's regret is reduced. Jim can't rely on the same excuse, however, if an investment in Medium-Size Company fails. Instead of exonerating himself ("Lots